China Real Estate

May sales firm; land premium driving sentiment

Equities
REMD

China

- Firm May sales across developers; momentum to continue into June for those with abundant saleable resources
- Land market on track to improve; high-premium sales suggest developers are rebuilding confidence
- Prefer CRL and C&D – both rated Buy

May sales firm; momentum set to continue into June: The six high-quality SOEs we cover delivered solid May sales with positive average y-o-y growth, led by CR Land (+28% y-o-y), Yuexiu (+18% y-o-y) and COLI (+14% y-o-y). Notably, these companies' share prices rose on average by 7% (vs HSI: -2%) in May, primarily reflecting their improving fundamentals, although a recent pause indicates market concern over the sustainability of the rebound (*A pause before more catalysts materialise*, 19 May 2026). We expect momentum to continue through June, especially for developers with rich pipelines on the back of a low base last year. We think the recent positive sell-through of Shenzhen high-end projects highlights resilient upgrader demand, setting market expectations for high-quality SOE developers' sales and earnings this year. Hangzhou luxury projects are also key to watch (*April sales: Hangzhou heat, wider split*, 4 May 2026).

Land market shows early signs of recovery: The Shanghai land market stands out, with five plots sold for cRMB11bn on 29 May, four of which were sold at 17-40% above reserve prices. High-premium transactions in Suzhou and Nanjing also point to improving developer confidence; notably, COLI acquired a Suzhou residential plot for RMB1.7bn, 30% above the reserve price, setting a provincial record for price per sqm. National land sale declines narrowed to 36% in 5M26 (from 41% in 4M26), and the average premium over the reserve price increased to 10% (from 6% in 4M25). We think a recovery in the land market further supports recovery visibility for high-quality developers, showing rebuilt confidence following improving sales performance.

Shanghai secondary transactions remain the bright spot: May transactions sustained the strong March-April momentum following the earlier easing of purchase restrictions, reaching a five-year high. Secondary home prices have also risen m-o-m for three consecutive months, according to NBS, with a 0.7% increase in April. We believe the recent recovery is not solely a short-term holiday uplift or a one-off release of pent-up demand from policy easing (*May holiday pulse check: busy sites, better sales*, 8 May 2026); rather, we expect a better wealth effect and a meaningful improvement in affordability (*Demand reawakens: Affordability at a decade-best level*, 26 May 2026) to structurally underpin organic sales growth over the coming months.

Stock preference: We maintain our preference for CRL and C&D (both rated Buy), given their strong execution capabilities in high-end projects, robust pricing power and potential for an earnings recovery from 2027. We also expect CRL to benefit from investment property revaluations as the C-REITs market continues to expand.

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Figure 1: Valuation summary

Company	Ticker	Rating	Share Price (HKD)	Target Price (HKD)	Mkt Cap (USDbn)	3M ADTV (USDm)	NAV (HKD/sh)	(Disc)/ Prem (%)	PE (x) 2025a	PE (x) 2026e	PE (x) 2027e	Yield (%) 2026e	PB (x) 2025a	Net Gearing (%)
Property developers														
C&D Int'l	1908 HK	Buy	16.24	19.90	4.6	14.4	42.4	(62)	8.0	7.1	6.6	7.1	0.7	25
COLI	688 HK	Buy	16.04	16.50	22.4	56.4	25.7	(38)	11.7	12.8	11.9	3.0	0.4	33
CR Land	1109 HK	Buy	36.42	43.80	33.1	92.9	55.5	(34)	10.0	9.5	8.9	3.9	0.7	39
China Vanke	2202 HK	Reduce	2.78	2.50	5.8	9.8	5.9	(53)	n.m.	n.m.	n.m.	-	0.3	108
CIFI	884 HK	Hold	0.07	0.08	0.1	0.8	0.5	(87)	n.m.	n.m.	n.m.	-	0.0	81
Country Garden	2007 HK	Hold	0.24	0.30	1.4	13.5	1.9	(88)	1.7	n.m.	n.m.	-	NM	NM
China Jinmao	817 HK	Hold	1.75	1.50	3.0	10.1	3.5	(50)	29.2	30.2	28.4	1.1	0.5	76
Greentown China	3900 HK	Hold	9.09	9.50	2.9	13.5	17.9	(49)	n.m.	29.7	11.1	1.5	0.6	65
Longfor	960 HK	Hold	8.02	8.60	7.3	20.0	25.4	(68)	n.m.	37.6	13.9	0.8	0.3	48
Seazen	1030 HK	Buy	1.83	3.00	1.7	6.2	7.4	(75)	29.3	8.3	6.0	-	0.2	59
Shenzhen Inv	604 HK	Hold	0.79	0.70	0.9	1.1	2.2	(64)	14.0	23.6	15.4	-	0.2	91
Yanlord (SGD)	YLLG SP	Hold	0.70	0.53	1.1	2.4	1.6	(57)	n.m.	18.7	17.5	-	0.2	34
Yuexiu	123 HK	Buy	4.59	5.10	2.4	5.9	14.7	(69)	61.5	15.4	9.8	2.6	0.3	69
Average								**(61)**	**20.7**	**19.3**	**13.0**	**1.5**	**0.4**	**61**
Property brokerage service providers														
KE Holdings (Beike) (USD)	BEKE US	Buy	16.60	23.30	19.4	76.6	NA	NA	24.7	16.8	13.8	2.4	2.0	net cash
Property managers														
COPL	2669 HK	Hold	3.83	4.30	1.6	4.9	NA	NA	6.9	6.5	6.1	5.0	1.6	net cash
CR Mixc	1209 HK	Hold	42.50	48.00	12.4	17.9	NA	NA	21.3	19.2	17.7	5.2	4.7	net cash
CG Services	6098 HK	Hold	5.92	6.10	2.5	5.7	NA	NA	6.8	6.3	5.5	9.6	0.4	net cash
Greentown Serv	2869 HK	Buy	4.56	5.10	1.8	1.9	NA	NA	14.1	12.7	11.6	5.7	1.5	net cash
Sunac Services	1516 HK	Hold	0.99	0.90	0.4	1.7	NA	NA	7.4	4.6	4.4	1.3	0.5	net cash
Average									**11.3**	**9.8**	**9.1**	**5.4**	**1.7**	

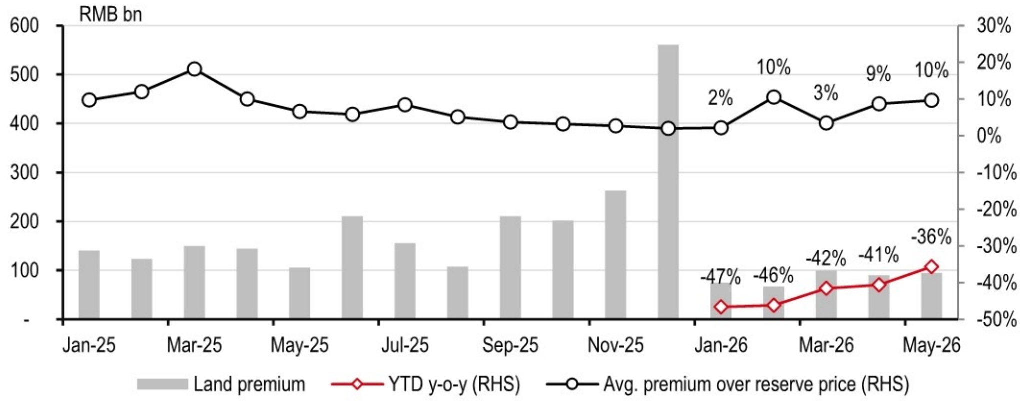
Note: Priced at close of 1 Jun 2026. NA – Not applicable/available. NM – Not meaningful.
Source: Bloomberg, HSBC estimates

Figure 2: Developers' May contracted sales

RMBm	May sales value	m-o-m	y-o-y	YTD 2026 sales	YTD y-o-y	Basis
C&D Int'l	13,799	9%	4%	51,820	-8%	Gross
China Jinmao	10,496	19%	-16%	41,730	11%	Gross
CIFI	846	26%	-50%	3,926	-56%	Gross
COLI	27,289	13%	14%	103,000	14%	Gross
Country Garden	2,630	5%	-15%	11,800	-15%	Attri.
CR Land	23,500	-9%	28%	93,500	8%	Gross
Greentown	12,500	20%	-29%	48,500	-26%	Gross
Longfor	3,370	17%	-48%	13,720	-52%	Gross
Seazen	1,033	4%	-48%	5,040	-43%	Gross
Vanke	6,230	29%	-44%	27,650	-52%	Gross
Yuexiu	11,289	33%	18%	37,000	-27%	Gross
Average		**15%**	**-17%**		**-22%**	
POE		**13%**	**-40%**		**-41%**	
SOE (excl. Vanke)		**14%**	**3%**		**-5%**	

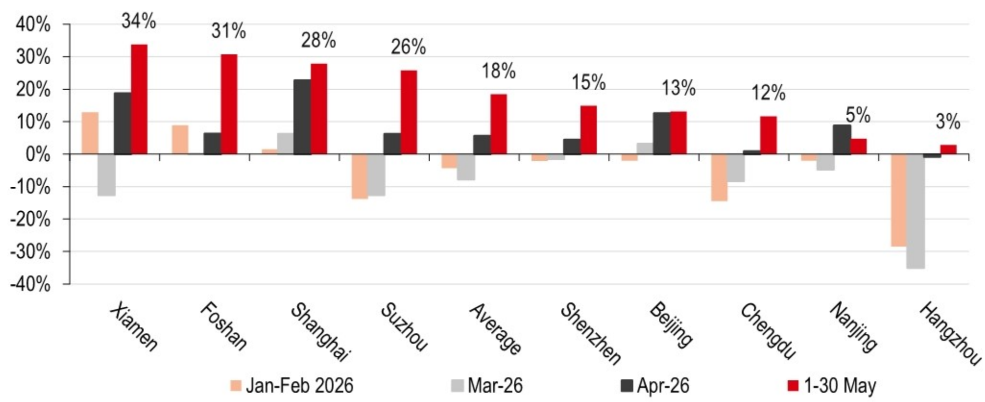
Source: CRIC, HSBC

Figure 3: National residential land sales y-o-y decline narrowed to 36% in 5M26



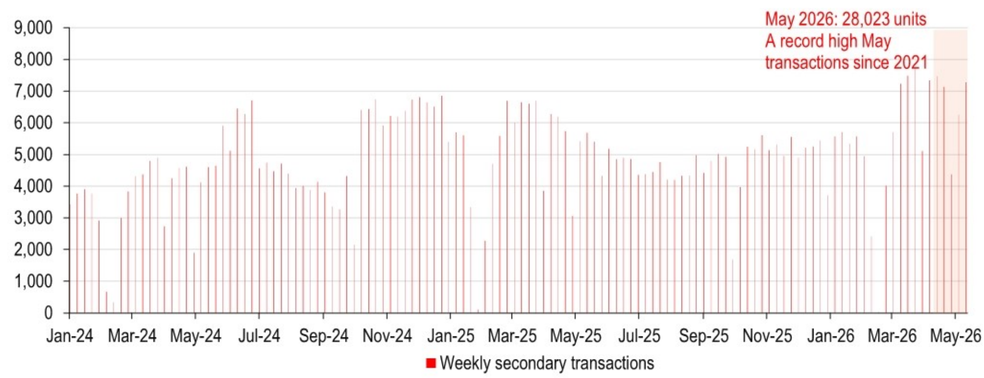
Source: CREIS, HSBC

Figure 4: May average secondary units sold in 10 cities +18% y-o-y



Source: WIND, HSBC

Figure 5: Shanghai May secondary transactions (28,023 units) hit a five-year high



Source: WIND, HSBC

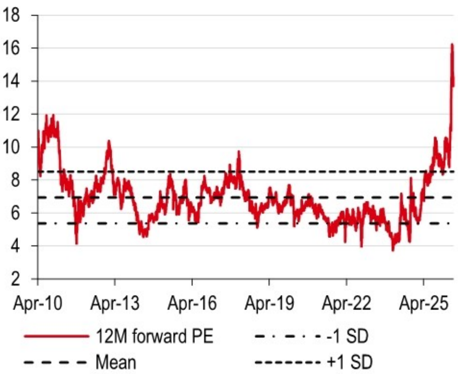
Figure 6: Luxury projects on sale in Hangzhou

Project	Project (English)	Developer	Land acquisition date	First launch date	AV (RMB/sqm)	ASP (RMB/sqm)	Unit size (sqm)	Unit price (RMBm)
建发栖湖云庄	Qihu Yunzhuang	C&D	28 Mar 2025	27 Apr 2026	88,029	154,262	303-607	49-200
中海万潮玖序	AVENIR	COLI	31 Dec 2024	16 Apr 2026	44,673	104,925	233-860	22-100
奥映世纪	One New Age	Binjiang/Jindi	27 Jun 2025	17 Apr 2026	54,473	87,681	238-388	15-45
滨江望天际	One Beyond	Binjiang/C&D/Jinmao	25 Mar 2025	NA	77,409	130,000	296-876	33-100
滨杭传麒府	Legend 206	Binjiang/Jianhang	24 Jan 2025	NA	64,834	120,000	356-611	35-100
中海海潮玖序	AVILLA	COLI	28 Mar 2025	NA	65,000	140,000	360-400	30-70

Source: Fang.com, CREIS, HSBC. Note: NA – Not applicable/available.

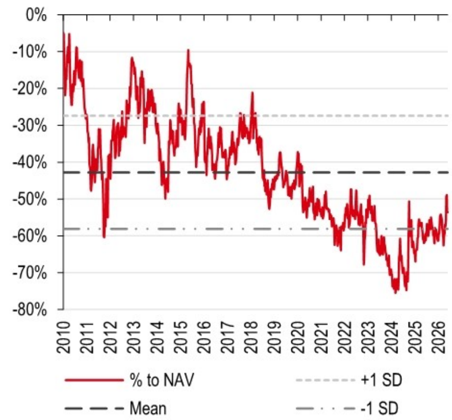
Valuation charts

Figure 7: SOE developers' forward PE (x)



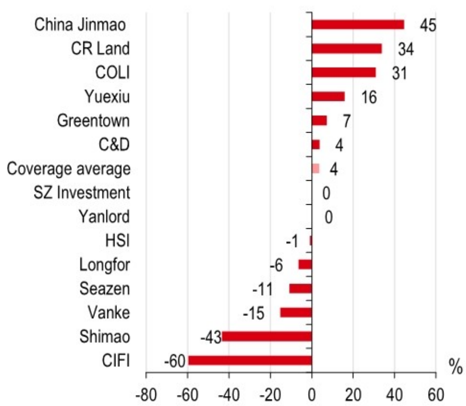
Source: The average forward PE multiples of COLI, CRL, Vanke, Greentown, Yuexiu, C&D Int'l, and Longfor are based on Bloomberg consensus.
Source: Bloomberg, HSBC estimates

Figure 8: SOE developers' NAV discount (%)



Source: Bloomberg, HSBC estimates

Figure 9: 2026 YTD share price performance



Note: Priced as of 1 Jun 2026.
Source: Bloomberg, HSBC

Figure 10: SOE developers' trailing PB (x)

Note: The average trailing PB multiples of COLI, CRL, Vanke, Greentown, Yuexiu, and C&D International are based on monthly data.
Source: Bloomberg, HSBC

Valuation and risks

		Valuation	Risks to our view
CR Land 1109 HK **Buy**	Current price: **HKD36.42** Target price: **HKD43.80** Upside: **20.0%**	**Methodology:** The NAV is calculated by adding up the gross asset values (GAVs) of development projects (DPs) and investment projects (IPs), then subtracting net debt, based on company reports. Our assignment of a target discount is on a relative basis; companies that share similar operational/financial strengths and execution track records should be assigned the same target discount. **Assumptions:** A NAV discount of 21%, set at 1 SD above the historical mean, is applied to our NAV per share estimate of HKD55.50 (all unchanged). We use a discount that is 1 SD above the historical mean in the valuation to reflect CR Land's increase in sales momentum, strong recurrent income, and solid execution track record. Our unchanged target price of HKD43.80 implies c20% upside to the current share price; we therefore maintain our Buy rating on the stock, supported by its promising margin recovery trajectory and exposure to high-profile cities, positioning the company to benefit early in a market recovery. **Michelle Kwok*** | michellekwok@hsbc.com.hk | +852 2996 6918	**Key downside risks** ◆ Inability to maintain sales momentum ◆ Lower-than-expected margins ◆ Any material slowdown in the shopping mall segment ◆ Inability to maintain dividend stability ◆ Uncertainties related to macroeconomic and property-specific policies
C&D International 1908 HK **Buy**	Current price: **HKD16.24** Target price: **HKD19.90** Upside: **22.5%**	**Methodology:** The NAV is calculated by adding up the gross asset values (GAVs) of development projects (DPs) and investment projects (IPs), then subtracting net debt, based on company reports. Our assignment of a target discount is on a relative basis; companies that share similar operational/financial strengths and execution track records should be assigned the same target discount. **Assumptions:** A NAV discount of 53%, set at 0.25 SD above the historical mean, is applied to our NAV per share estimate of HKD42.40 (all unchanged). We use a discount that is 0.25 SD above the historical mean to reflect the encouraging margin recovery trend and unique competitive edge supported by a young landbank. Our unchanged target price of HKD19.90 implies c26% upside to the current share price; accordingly, we maintain our Buy rating on the stock. **Stephen Wang*, CFA** | stephen.wang@hsbc.com.hk | +852 2284 1675	**Key downside risks** ◆ Land acquisition slowdown ◆ Sharp sales deterioration ◆ Steep margin compression ◆ Share placement at deep discounts ◆ JV project risks ◆ Policy uncertainties

Note: Priced at close of 1 Jun 2026.
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Source: Bloomberg, HSBC estimates

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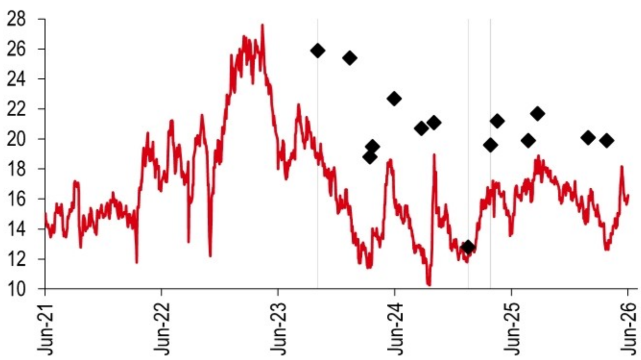
Share price and rating changes for long-term investment opportunities

C&D International (1908.HK) share price performance HKD Vs HSBC rating history



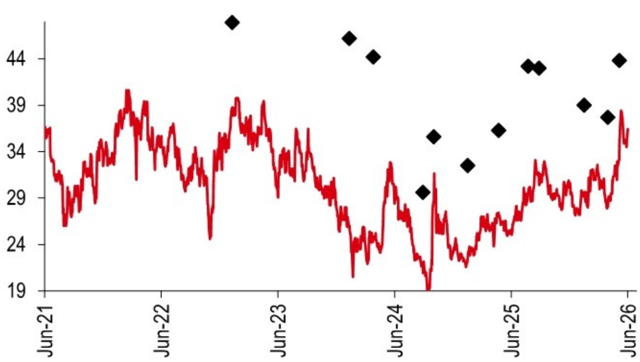
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	03 Oct 2023	Stephen Wang, CFA
Buy	Hold	16 Jan 2025	Stephen Wang, CFA
Hold	Buy	27 Mar 2025	Stephen Wang, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	25.90	03 Oct 2023	Stephen Wang, CFA
Price 2	25.40	11 Jan 2024	Stephen Wang, CFA
Price 3	18.80	14 Mar 2024	Stephen Wang, CFA
Price 4	19.50	22 Mar 2024	Stephen Wang, CFA
Price 5	22.70	30 May 2024	Stephen Wang, CFA
Price 6	20.70	23 Aug 2024	Stephen Wang, CFA
Price 7	21.10	01 Oct 2024	Stephen Wang, CFA
Price 8	12.80	16 Jan 2025	Stephen Wang, CFA
Price 9	19.60	27 Mar 2025	Stephen Wang, CFA
Price 10	21.20	17 Apr 2025	Stephen Wang, CFA
Price 11	19.90	23 Jul 2025	Stephen Wang, CFA
Price 12	21.70	22 Aug 2025	Stephen Wang, CFA
Price 13	20.10	27 Jan 2026	Stephen Wang, CFA
Price 14	19.90	26 Mar 2026	Stephen Wang, CFA

Source: HSBC

China Resources Land (1109.HK) share price performance HKD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	12 Aug 2015	Michelle Kwok
Target price	**Value**	**Date**	**Analyst**
Price 1	47.90	09 Jan 2023	Michelle Kwok
Price 2	46.20	11 Jan 2024	Michelle Kwok
Price 3	44.20	26 Mar 2024	Michelle Kwok
Price 4	29.60	28 Aug 2024	Michelle Kwok
Price 5	35.60	01 Oct 2024	Michelle Kwok
Price 6	32.50	16 Jan 2025	Michelle Kwok
Price 7	36.30	23 Apr 2025	Michelle Kwok
Price 8	43.20	24 Jul 2025	Michelle Kwok
Price 9	43.00	27 Aug 2025	Michelle Kwok
Price 10	39.00	15 Jan 2026	Michelle Kwok
Price 11	37.70	30 Mar 2026	Michelle Kwok
Price 12	43.80	06 May 2026	Michelle Kwok

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
C&D INTERNATIONAL	1908.HK	16.24	01 Jun 2026	4
CHINA RESOURCES LAND	1109.HK	36.42	01 Jun 2026	1, 4, 5, 6, 7, 11

Source: HSBC

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